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First Year – Common Core 2025/2026
Subject: English1

Unit 8: Size of the Economy

UNIT FOCUS:

- **Reading:** Gross Domestic Product.
- **Vocabulary:** Context Clues.
- **Grammar:** Phrasal Verbs

"GDP is not a good measure of economic performance; it is not a good measure of wellbeing."

(Joseph Stiglitz)

Reading

Read the Text. Underline the New Words.

Gross Domestic Product

Macroeconomics is an **empirical**[1] subject, so the first step toward understanding it is to measure the economy. How large is our economy? The size of a nation's overall economy is typically measured by its **gross**[2] domestic product (GDP), which is the value of all **final**[3] goods and services produced within a country in a given year. The measurement of GDP involves counting up the production of millions of different goods and services—smart phones, cars, music downloads, computers, steel, bananas, college educations, and all other new goods and services produced in the current year—and summing them into a **total**[4] dollar value. This task is straightforward: take the quantity of everything produced, **multiply**[5] it by the price at which each product sold, and **add up**[6] the total. In 2025, the U.S. GDP totaled $30.5 trillion, the largest GDP in the world. Each of the market transactions that enter into GDP must involve both a buyer and a seller. The GDP of an economy can be measured either by the total dollar value of what is purchased in the economy, or by the total dollar value of what is produced.

Measuring the Size of the Economy: Gross Domestic Product

The size of a nation's economy is commonly expressed as its gross domestic product (GDP), which measures the value of the output of all goods and services produced within the country in a year. GDP is measured by taking the quantities of all goods and services produced,

multiplying them by their prices, and summing the total. Since GDP measures what is bought and sold in the economy, it can be measured either by the sum of what is purchased in the economy or what is produced.

Demand can be divided into consumption, investment, government, exports, and imports. What is produced in the economy can be divided into durable goods, nondurable goods, services, structures, and inventories. To avoid double counting, GDP counts only final output of goods and services, not the production of **intermediate**[7] goods or the value of labor in the chain of production.

Adjusting Nominal Values to Real Values

The **nominal**[8] value of an economic **statistic**[9] is the commonly **announced**[10] value. The **real**[11] value is the value after **adjusting**[12] for changes in **inflation**[13]. To convert nominal economic data from several different years into real, inflation adjusted data, the starting point is to choose a base **year**14arbitrarily and then use a price **index**[15] to convert the measurements so that they are measured in the money **prevailing**[16] in the base year.

Tracking Real GDP over Time

Over the long term, U.S. real GDP have increased **dramatically**[17]. At the same time, GDP has not increased the same amount each year. The speeding up and slowing down of GDP growth represents the business cycle. When GDP declines significantly, a **recession**[18] occurs. A longer and deeper decline is a **depression**[19]. Recessions begin at the **peak**[20] of the business cycle and end at the **trough.**[21]

Comparing GDP among Countries

Since GDP is measured in a country's currency, in order to compare different countries' GDPs, we need to convert them to a common currency. One way to do that is with the exchange rate, which is the price of one country's currency in terms of another. Once GDPs are expressed in common currency, we can compare each country's **GDP per capita**[22] by dividing GDP by **population**[23]. Countries with large populations often have large GDPs, but GDP alone can be a **misleading**[24] **indicator**[25] of the wealth of a nation. A better measure is GDP per capita.

How Well GDP Measures the Well-Being of Society

GDP is an indicator of a society's standard of living, but it is only a **rough**[26] indicator. GDP does not directly take **account**[27] of leisure, **environmental**[28] quality, levels of **health**[29] and education, activities conducted outside the market, changes in **inequality**[30] of income, increases in variety, increases in technology, or the (positive or negative) value that society may place on certain types of output.

Greenlaw, S. A., Taylor, T., Dodge, E. R., Gamez, C., Jauregui, A., Keenan, D., . . . Sonenshine, R. (2016). Principles of macroeconomics. (133-135) Houston, TX: Openstax College, Rice University.

Glossary		
1.**empirical:** Based on observation or experience rather than theory or pure logic. In economics, it refers to using real-world data**.**	**11.real:** Adjusted for inflation to show the true purchasing power or quantity, allowing for comparison across different time periods.	**21.trough: The lowest point of the business cycle, preceding a recovery.**
2.**gross**: The total amount before any deductions, such as depreciation or taxes.	**12.adjusting:** Altering or correcting a figure to account for a specific factor, such as inflation.	**22.per capita:** For each person; in relation to people taken individually. Calculated by dividing a total (like GDP) by the population**.**
3.**final:** Referring to goods or services that are purchased for their ultimate use by the end consumer, not for resale or further processing**.**	**13.inflation:** A general increase in prices and fall in the purchasing value of money.	**23.population:** The total number of people inhabiting a specific area or country.
4.**total:** The overall sum or amount**.**	**14.base year:** A specific year chosen as a point of reference for comparison in economic statistics, often used to calculate real values**.**	**24.misleading:** Giving the wrong idea or impression**.**
5.**multiply:** To calculate the product of two or more numbers**.**	**15.price index:** A normalized average (typically a weighted average) of price relatives for a given class of goods or services in a given region, during a given interval of time.	**25.indicator:** A gauge or measure that provides information about the state or condition of something (e.g., an economic indicator).
6.**add up:** To calculate the total sum of a set of numbers.	**16.prevailing:** Existing at a particular time; current (e.g., prevailing prices).	**26.rough:** Approximate; not exact or detailed.
7.**intermediate:** Referring to goods or services that are used as inputs in the production of other goods and services, and are not the final product.	**17.dramatically:** Substantially and noticeably.	**27.account:** To consider or include in a calculation or assessment.
8.**Nominal:** Measured in current prices, without adjustment for inflation.	**18.recession:** A significant decline in economic activity spread across the economy, lasting more than a few months, normally visible in real GDP, real income, employment, industrial production, and wholesale-retail sales**.**	**28.environmental:** Relating to the natural world and the impact of human activity on its condition**.**
9.**statistic:** A numerical fact or datum, especially one computed from a sample**.**	**19.depression:** A severe and prolonged downturn in economic activity. An extreme recession.	**29.health:** The state of being free from illness or injury.
10.**announced:** Made publicly known.	**20.peak:** The highest point of the business cycle, preceding a recession.	**30.inequality:** The condition of being unequal, often referring to the uneven distribution of income or wealth.

Digest what you read

A. Based on the information given in the text select True, False, Not Given.

.....1- GDP is the value of final goods and services produced within a country in a given year.

.....2- Supply can be divided into investment, government, exports, and imports

. .....3- The nominal value of an economic statistic is the commonly announced value

. .....4- The real value is the value after adjusting for changes in depression.

.....5- Recessions begin at the peak of the business cycle and end at the trough.

B. Select the best answer for the items below. Refer to the text to check your answers.

1. Which sentence is true about GDP?

A. It is the size of a nation's overall income.
B. It is the value of all final goods and services produced in a year.
C. It is the value of all final goods and services produced within a country in a month.
D. It is the size of a nation's total income.

2- Which one is not a division of Demand?

A. Consumption
B. Investment
C. Exports and imports
D. Production

3- Which expression is wrong about GDP?

a. Each of the market transactions that enter into GDP must involve both a buyer and a seller.
b. The GDP of an economy can be measured by the total dollar value of what is purchased in the economy.
c. The GDP of an economy can be measured by the total dollar value of what is produced.
d. Each of the market transactions that enter into GDP must involve both a producer and a seller.

4- What does GDP indicate?

A) Standards of living
B) Inequality in society
C) Inequality in income
D) Levels of education

5- What is true about depression?

A) When GDP declines significantly, a depression occurs.
B) A longer and deeper recession is a depression.
C) Depression begins at the peak of the business cycle and end at the trough.
D) When GDP increases significantly, a depression occurs.

Reading Strategy: Context Clues

Using context clues is a powerful strategy that can help you figure out the meanings of unknown words. Context refers to the words, sentences, or even paragraphs that surround a word. When you use context clues, you use the words that you know in a selection to make an intelligent guess about the meaning of an unknown word. Perhaps the thought of guessing seems strange to you. After all, it is better to know the answer on a test than just to guess. However, intelligent guessing is very important in reading. English has so many words that no one can know them

all. Good readers often use contextclues when they meet unfamiliar vocabulary. Context clues have two important advantages:

1. **You do not have to interrupt your reading to go to the dictionary.**

2. You can rely on your own common sense. Common sense is a very effective learning tool.

As you are reading, try to pinpoint words you do not know.

This advice sounds almost silly, but it isn't. Many people lose the opportunity to learn vocabulary simply because they let unknown words slip by. Don't let this happen to you. Try to capture difficult words!

Vocabulary Loading

A. Using the words given in the box 1 find pairs from the box 2.

1. Business cycle	9. Peak	17. Real value
2. Depreciation	10. GDP	18. Recession
3. Depression	11. Final good & service	19. GDP per capita
4. Nominal value	12. Nondurable good	20. Service
5. Exchange rate	13. National income	21. Double counting
6. Trough	14. Intermediate good	22. Trade Deficit
7. GNP	15. Standard of living	23. Trade Surplus
8. NNP	16. Structure	24. Inventory
		25. Trade Balance
		26. Durable good

A) Good that has been produced, but not yet been sold	K) Exists when a nation's exports exceed its imports and is calculated as exports – imports	S) Output used directly for consumption, investment, government, and trade purposes; contrast with "intermediate good"
B) Includes all income earned: wages, profits, rent, and profit income	L) During the business cycle, the lowest point of output in a recession, before a recovery begins	T) GDP divided by the population
C) Gap between exports and imports	M) The economic statistic actually announced at that time, not adjusted for inflation, contrast with real value	U) The value of the output of all goods and services produced within a country in a year
D) GDP minus depreciation	N) Short-lived good like food and clothing	V) Includes what is produced domestically and what is produced by domestic labor and businesses abroad in a year
E) An economic statistic after it has been adjusted for inflation; contrast with nominal value	O) Building used as residence, factory, office building, retail store, or for other purposes	W) Output provided to other businesses at an intermediate stage of production, not for final users; contrast with final good and service
F) A significant decline in national output	P) A potential mistake to be avoided in measuring GDP, in which output is counted more than once as it travels through the stages of production	X) The relatively short-term movement of the economy in and out of recession

G) Product which is untangible (in contrast to goods) such as entertainment or healthcare.	Q) Long-lasting good like a car or a refrigerator	Y) The process by which capital ages over time and therefore loses its value
H) All elements that affect people's happiness, whether bought and sold in the market or not	R) The price of one currency in terms of another currency	Z) An especially lengthy and deep decline in output
I) During the business cycle, the highest point of output before a recession begins		
J) Exists when a nation's imports exceed its exports and is calculated as imports – exports		

C. Find matching pairs. Translate them into Arabic.

Part 1	Part 2	Pairs	Translation
Total	Value		
empirical	Subjects		
Export and	Output		
Durable	Import		
double	Production		
Final	Goods		
Chain of	Counting		
Price	Year		
Economic	Index		
Base	Data		

Economic	Income	
Starting	Indicator	
Real	Living	
Intermediate	Nation	
Inequality of	Statistic	
Environmental	Goods	
Misleading	Point	
Standards of	Quality	
Wealth of a	Society	
Well-being of a	Value	

Announced	Currency	
Nominal	Value	
Per capita	Health	
Common	Goods	
Long	Income	
Business	Value	
Levels of	Growth	
Final	Term	
GDP	Cycle	
Nondurable	Goods	

D. Pair Work: Fill in the blanks using the proper words from the previous section.

1. The _____ is the value after adjusting for changes in inflation.

2. What is produced in the economy can be divided into durable goods, ----------, services, structures, and inventories.
3. The _____ of an economic statistic is the commonly announced value.
4. The starting point is to choose a _____ arbitrarily and then use a price index to convert the measurements so that they are measured in the money prevailing in the base year.
5. To avoid _____ GDP counts only final output of goods and services, not the production of intermediate goods or the value of labor in the chain of production.

E. Enhancing Your Vocabulary

Match the words on the left with their synonyms on the right. Find their Arabic equivalents with your partner

1. Portion	a. Complete
2. Local	b. Housing
3. Payroll	c. Solving, Finding answers
4. Treasury	d. Expenses, costs
5. Equipment	e. Devices, Facilities
6. Rely on	f. Depend, trust
7. Expenditures	g. A department that controls the money that the country spends or collects
8. Figure out	h. Not global or national
9. Residential	i. Section
10. Comprehensive	j. Income records

Grammar injection

Fill in the blanks with the correct form of the verbs from the reading.

Avoid, Increase, Convert, Enter, Express, Represent, Divide, Buy, Multiply

1. _____ double counting, GDP counts only final output of goods and services, not the production of intermediate goods or the value of labor in the chain of production.
2. GDP is measured by taking the quantities of all goods and services produced, _____ them by their prices, and summing the total.
3. Over the long term, U.S. real GDP _____ dramatically. At the same time, GDP has not increased the same amount each year.
4. Since GDP measures what _____ and sold in the economy, it can be measured either by the sum of what is purchased in the economy or what is produced.

5. Since GDP is measured in a country's currency, in order to compare different countries' GDPs, we need to _____ them to a common currency.
6. Once GDPs _____ in common currency, we can compare each country's GDP per capita by dividing GDP by population.
7. Demand can _____ into consumption, investment, government, exports, and imports.
8. Each of the market transactions that _____ into GDP must involve both a buyer and a seller.
9. The speeding up and slowing down of GDP growth _____ the business cycle.
10. _____ nominal economic data from several different years into real, inflation adjusted data, Tracking Real GDP over Time.

Grammar Handling

Some verbs are two-part verbs (Check Clauses, Sentences and Phrases). They consist of a verb and a particle. Add + Up = Add up Often this gives the verb a new meaning. This is called a **phrasal verb**. A **phrasal verb** is a verb that is made up of a main verb together with an adverb or a preposition, or both. There are two types of phrasal verb.

Intransitive

- They have no object
- All the profits need be added up.
- The prices dropped down.

Transitive

- They can have an object .
- The stocks can be easily converted to cash
- Multiply the total by 3.

Read the passage again and list the phrasal verbs. How many are there? Do their meanings change if you replace the particles? Translate them into Arabic.

Translate the text into Arabic.

Government economists at the Bureau of Economic Analysis (BEA), within the U.S. Department of Commerce, piece together estimates of GDP from a variety of sources. Once every five years, in the second and seventh year of each decade, the Bureau of the Census carries out a detailed census of businesses throughout the United States. In between, the Census Bureau carries out a monthly survey of retail sales. These figures are adjusted with foreign trade data to account for exports that are produced in the United States and sold abroad and for imports that are produced abroad and sold here. Once every ten years, the Census Bureau conducts a comprehensive survey of housing and residential finance. Together, these sources provide the main basis for figuring out what is produced for consumers.

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Self-check: Check your progress in this unit. Tick (√) the statements which are true about you.

• I can define GDP in English.

• I have learned more than 50 words from this unit.

• This unit helped me understand my technical subject better.